

India does not have the economic leverage vis a vis the US that China does

Between December 2022 and July 2025, China **accounted for** about 47 per cent of all **crude** oil and 44 per cent of the coal exported by Russia, as against India's **corresponding** purchase shares of 38 per cent and 20 per cent. Despite that, US President Donald Trump has **slapped** India with a 25 per cent "penalty" for buying Russian energy. **This rate**, to be effective from August 27, **would** take the total **tariff** on Indian goods imported into the US to 50 per cent. China has not only **escaped** such punishment, but has actually seen a lowering of the duty on its goods from 145 to 30 per cent since May 12. On Monday, Trump extended his trade **truce** with China for a further 90-day period till November 10. At the same time, **his Treasury Secretary**, Scott Bessent, **has threatened** additional "secondary tariffs" on India if the outcome of Trump's Friday meeting with Russian President Vladimir Putin isn't favourable.

This **blatantly divergent treatment**, further **eroding** the **credibility** of the current Western **sanctions regime**, **has** significantly to do with relative economic leverage — China is seen to **possess** much more of it. The most visible **demonstration** of that was when, in early April, it **imposed** export restrictions on rare earth elements and magnets that are **indispensable**, whether for auto, aerospace, defence, semiconductor, renewable energy or consumer electronics manufacturing. China could use its **virtual** global **monopoly** over the mining and processing of these critical minerals to **bring** Trump **to the negotiating table**. Rare earths apart, China also **played the trump card** of being a massive buyer of US agricultural produce — from soyabean, cotton and coarse grains to beef, pork and poultry meat — sharply reducing the imports of these to signal its capacity for **retaliation** in any **unilateral** trade war.

On the face of it, India does not have **that sort of** economic leverage. **Barring**, say, pharmaceutical products, much of what it **exports** to the US — readymade garments, gems and jewellery, frozen shrimps, basmati rice or even steel and aluminium — **aren't** items for which there are no alternative suppliers. Nor are Indian imports of California almonds comparable to the **humongous** quantities of Midwest US soyabean and corn that China was, until recently, sourcing to **feed** its swine and poultry birds. **Given** how much it **stands to lose** in any **prolonged** trade war — the worst-affected industries are also the most **employment-intensive** — the best **approach** for India to **adopt** **is strategic patience**. What the Indian foreign policy **establishment** and its trade negotiators should **emphasise** is the country's importance to global economic and regional **stability**, which **aligns with** the US's own long-term interests.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Economic leverage** (noun) – bargaining power, economic clout, negotiating heft, market power, influence आर्थिक दबदबा/सौदेबाज़ी शक्ति
2. **Vis a vis** (preposition) – in relation to, with respect to, compared with, as against, relative to के मुकाबले
3. **Account for** (phrasal verb) – constitute, make up, represent, explain, be responsible for बनाना
4. **Crude** (adjective) – unrefined, raw, unprocessed, untreated, natural कच्चा (तेल)
5. **Corresponding** (adjective) – equivalent, matching, parallel, respective, analogous अनुरूप/समतुल्य
6. **Slap** (verb) – impose, levy, slap on, inflict, assess (a duty/penalty) (दंड/शुल्क) थोपना/लगाना
7. **Tariff** (noun) – duty, customs duty, import tax, levy, impost शुल्क
8. **Escape** (verb) – avoid, evade, elude, sidestep, dodge बच निकलना
9. **Truce** (noun) – ceasefire, armistice, détente, pause, cessation of hostilities युद्धविराम
10. **Threaten** (verb) – menace, warn, intimidate, vow (to), portend धमकाना/आशंका जताना
11. **Blatantly** (adverb) – flagrantly, brazenly, openly, overtly, patently खुल्लमखुल्ला
12. **Divergent** (adjective) – disparate, different, conflicting, variant, at odds भिन्न/विरोधी
13. **Erode** (verb) – undermine, corrode, wear away, dilute, whittle down कम करना
14. **Credibility** (noun) – believability, trustworthiness, reliability, plausibility, legitimacy विश्वसनीयता
15. **Sanction** (noun) – penalty, embargo, restriction, punitive measure, economic measure प्रतिबंध
16. **Regime** (noun) – system, order, framework, administration, governance structure व्यवस्था
17. **Possess** (verb) – have, own, hold, command, wield रखना
18. **Demonstration** (noun) – display, showing, illustration, manifestation, exhibition प्रदर्शन
19. **Impose** (verb) – levy, enforce, institute, decree, foist लागू करना/थोपना
20. **Indispensable** (adjective) – essential, vital, crucial, requisite, non-negotiable अपरिहार्य

21. **Virtual** (adjective) – de facto, effectively, near-total, practically, almost वस्तुतः
22. **Monopoly** (noun) – the control of an industry or service by only one company; a type of goods or a service that is controlled in this way एकाधिकार
23. **Bring someone to the negotiating table** (phrase) – force to negotiate, compel talks, pressure into dialogue, drag to talks, push into negotiations बातचीत पर मजबूर करना
24. **Play the trump card** (phrase) – to use a powerful advantage or resource, often unexpectedly, to gain a significant upper hand in a situation सबसे ताकतवर दांव चलना
25. **Retaliation** (noun) – reprisal, retribution, countermeasure, payback, backlash प्रतिशोध/जवाबी कार्रवाई
26. **Unilateral** (adjective) – one-sided, go-it-alone, non-reciprocal, independent, uncoordinated एकतरफा
27. **On the face of it** (phrase) – apparently, seemingly, at first glance, prima facie, on the surface पहली नज़र में
28. **That sort of** (phrase) – that kind of, such, of that type, of that nature, along those lines उस तरह का
29. **Barring** (preposition) – except for, save for, apart from, excluding, short of को छोड़कर
30. **Humongous** (adjective) – enormous, colossal, gigantic, immense, mammoth बहुत विशाल
31. **Feed** (verb) – nourish, sustain, provision, supply, fatten खिलाना
32. **Given** (preposition) – considering, in view of, taking into account, granted, assuming को देखते हुए
33. **Stand to lose** (phrase) – risk losing, be likely to forfeit, be set to suffer losses, be in danger of losing, be liable to lose नुकसान उठाने की स्थिति में होना
34. **Prolonged** (adjective) – extended, protracted, drawn-out, lengthened, sustained दीर्घकालिक
35. **Employment-intensive** (adjective) – labour-intensive, job-rich, worker-intensive, manpower-heavy, employment-heavy रोजगार-प्रधान
36. **Adopt** (verb) – take up, embrace, pursue, implement, espouse अपनाना
37. **Strategic** (adjective) – long-term, calculated, tactical, planned, policy-oriented रणनीतिक/सोचा-समझा
38. **Patience** (noun) – forbearance, endurance, tolerance, composure, persistence धैर्य/सब्र

39. **Establishment** (noun) – officialdom, state apparatus, bureaucracy, institution, governing set-up शासन-तंत्र

40. **Emphasise** (verb) – stress, underscore, highlight, accentuate, underline जोर देना

41. **Stability** (noun) – steadiness, equilibrium, constancy, solidity, balance स्थिरता

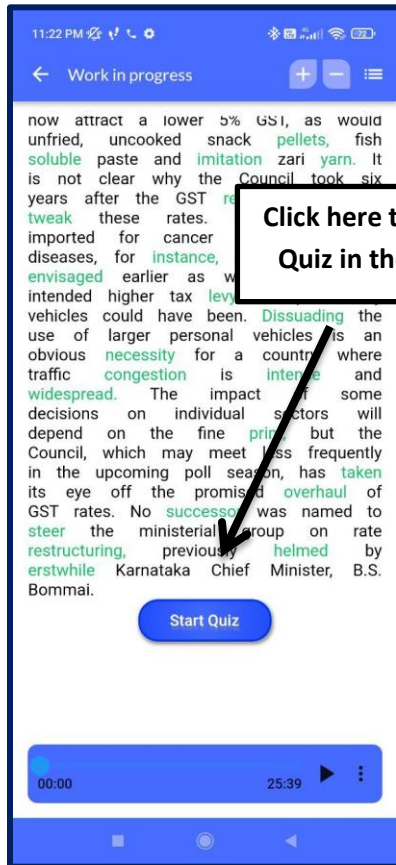
42. **Align** (with) (verb) – harmonise with, be consistent with, match, be in line with, conform to के अनुरूप होना

@mocks_wallah

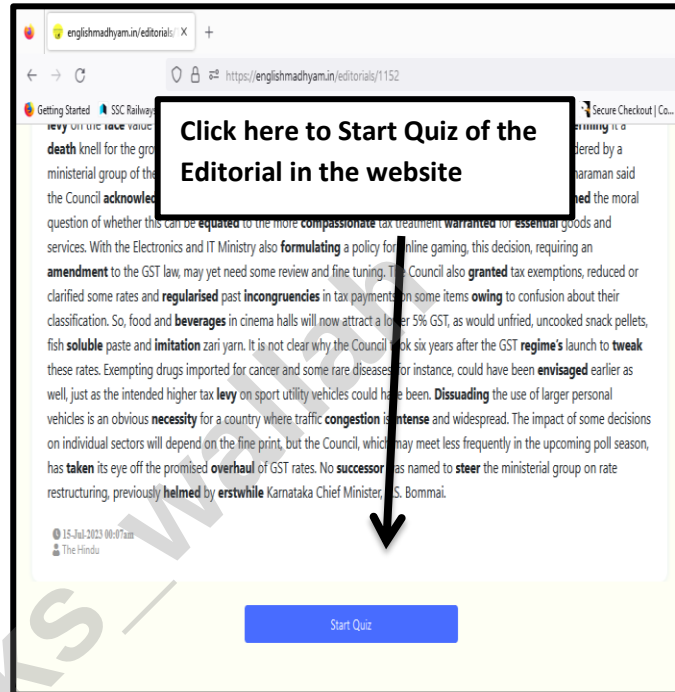
Summary of the Editorial

1. Between Dec 2022–July 2025, China bought 47% of Russia’s crude oil and 44% of its coal, while India’s share was lower at 38% and 20% respectively.
2. Despite buying less Russian energy than China, India has been hit with a 25% US “penalty” on such purchases.
3. This penalty, effective August 27, will raise total US tariffs on Indian goods to 50%.
4. China, instead of facing penalties, has seen US duties on its goods reduced from 145% to 30% since May 12.
5. On August 11, US President Trump extended a 90-day trade truce with China until November 10.
6. The US Treasury Secretary has warned of “secondary tariffs” on India if Trump’s meeting with Putin on Friday yields an unfavourable outcome.
7. The uneven treatment of India and China reflects differences in **economic leverage** between the two nations.
8. In April, China imposed export restrictions on rare earth elements and magnets crucial to industries like defence, semiconductors, renewable energy, and electronics.
9. China’s near-monopoly on rare earths forced the US to negotiate, showing its capacity for economic retaliation.
10. China also reduced imports of key US farm products — soyabeans, cotton, grains, beef, pork, poultry — to signal leverage.
11. India lacks comparable bargaining power; its major exports to the US (garments, jewellery, shrimps, rice, steel, aluminium) have alternative suppliers.
12. Indian imports from the US, like California almonds, are minor compared to China’s past massive purchases of US agricultural goods.
13. A prolonged trade war would hurt India’s most employment-intensive industries.
14. Therefore, India’s best option is **strategic patience** rather than aggressive retaliation.
15. Indian diplomacy should focus on projecting the country’s role in global economic stability and regional security, aligning with US long-term interests.

Practice Exercise: Banking Pattern Based



Click here to Start Quiz in the App



Click here to Start Quiz of the Editorial in the website

[Click here to download App](#)

[Click here to visit website](#)